



Quantitative easing

Quantitative easing is a 21st-century strategy aimed at boosting the economy. It uses the central bank's powers to create new money in an effort to reduce interest rates and increase investment and spending.

How it works

Governments use a number of tools to try to manage the growth of the economy in a stable, balanced way. One of their key tools is their influence, via central banks, over interest rates. Lowering interest rates can encourage financial institutions to lend more to businesses and individuals, which encourages them to spend rather than to save.

In recent times quantitative easing (QE) has been used when economic activity is sluggish and there is a fear of deflation or recession. QE involves the creation of new money – usually taking the form of electronic

currency – which the central bank then uses to buy government bonds, or bonds from investors such as banks or pension funds. The aim is to increase the liquidity of money in the economy, which will in turn lower interest rates and make lending easier and more attractive. This, in turn, should encourage businesses to invest and consumers to spend more, thus boosting the economy.

QE is still very much a monetary policy experiment in progress. There are concerns that it could lead to an inflation problem, and its detractors point out that its benefits are not being felt across the whole economy.

How QE is supposed to work

Ideally, money passed on to banks should trickle down to all sectors, leading to spending, which boosts the economy.

